CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. EC380F3FA
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN FULL

From: Steven J Kean <steven.kean@enron.com>
Sent: Thu, 4 Jan 2001 08:30:00 -0800 (PST)
To: Mark Koenig <mark.koenig@enron.com>, Paula Rieker <paula.rieker@enron.com>, Kathryn Corbally <kathryn.corbally@enron.com>
Subject: Brief Summary of Today's Activities in California (at Least Thus Far)

----- Forwarded by Steven J Kean/NA/Enron on 01/04/2001 04:28 PM -----

Jeff Dasovich
Sent by: Jeff Dasovich
01/04/2001 02:58 PM

To: Jeff Dasovich/NA/Enron@Enron
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The Commission voted out the order 5-0, essentially as it appeared yesterday. Three key changes:
They clarified that the surcharge applies to Direct Access customers (but the entire "rate freeze" structure remains intact for now).
The Commission reversed itself and chose not to adopt TURN's "netting out" of gen revenues and CTC collections, and said instead that the Commission will consider it as an option in the next phase (a move likely made in order to lower chances of a successful utility appeal).
The Commission added to the decision language saying that it will study the pros/cons of securitizating the utilities' power purchase costs. They will submit a report on the issue to the Governor and Legislature.
On this last point, wire reports are rampant about the possibility that legislation will be introduced as early as today proposing to securitize the utilties' power purchase costs. This action has reportedly been the result of discussions that occured through the night between the governor's office, the utilities and the ratings agencies in reponse to the fact that the decision issued by the PUC falls well short of what's needed to keep the IOUs credit worthy and solvent. As a result of those wires stories, the utilities' stock has come back (Edison was down as low as 6.25 and is currently at 10 7/8; PG&E was at 8 7/8 and is currently at 11 7/8). We're working with Sandi McCubbin, who heads-up our legislative activities in California, to get more info and will report back.
The hearing was dominated by highly charged anti-generator, anti-marketer rhetoric, which is likely to play a prominent role in the press accounts. Only FERC was demonized more.
Each of the Commissioners, including the most recent "interim" appointee, made strong statements regarding the undesirability of utility bankruptcy.
The Commission left open the possibility of "doing more" at their next meeting (two weeks from today), which means the negotiations with the utilities and ratings agencies are likely to continue. And if an agreement is reached, it could end up on the next agenda.

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